

Using data on 33 countries from the U-M World Values Survey, the researchers found that more patriotic countries and regions within the United States hold smaller foreign equity positions—in other words, investors discriminate in favor of domestic stocks. For example, Americans and South Africans invest less in foreign stocks than do several European investors, while investors in the very patriotic regions of Texas, Oklahoma, Louisiana, and Arkansas invest less in international equities than do investors in the less patriotic New England states.

Morse and Shive found that patriotism accounts for an additional 7 percent of the cross-country variation in foreign equity holdings. Further, a 10 percent decrease in patriotism is associated with a 29 to 48 percent increase in foreign equity in the home country portfolio. The study also presented evidence that U.S. demand for French stocks traded in the United States declined in reaction to French opposition to the recent war in Iraq. The proportion of American Depositary Receipts (ADRs) sold increased by 15 to 18 percent during the prewar period of anti-French sentiment and the average U.S. price of the ADR decreased relative to the French price (ADRs are certificates issued by a U.S. depository bank, representing foreign shares held by the bank).

Overall, Morse and Shive say their research has two implications: patriotic behavior explains a part of the mysterious equity home bias and policies aimed at increasing investors' portfolio diversification may need to account for "irrational" investor behavior. Shive said of her research:

Patriotism results in a winner's curse in the sense that the person valuing a stock most highly will ultimately be the highest bidder. . . . The citizens of a country will likely be the highest bidders for their own country's assets, thus possibly driving up prices in their own market.⁴

Implications for Investors

One of the previously referenced implications for affinity bias is that investors decide to invest in weak or otherwise unsound companies that reflect expressive characteristics rather than utilitarian characteristics in a misguided attempt to achieve investment success. A classic example of this can be found in individuals who invest in retail chain stores that produce popular products such as blue jeans, watches, or other products that reflect expressive benefits, only to discover that the company is a disaster from an investment standpoint. Other investors may also wish to invest in companies that they feel reflect their environmental, social, or governance values (ESG), which may or may not prove to be a successful strategy. Some studies have